CMS 招商證券國際

Tuesday, February 10, 2026

Company Report

China Merchants Securities (HK) Co., Ltd.
Hong Kong Equity Research

Tesla (TSLA US)

Strategic shift toward physical AI underway, with scalability and cash flow visibility yet to be proven

- **Strategic pivot toward physical AI reshapes mix, CAPEX stepping up**
- **AD deployment accelerates and Optimus Gen 3 approaches launch, while scalability and cash flow visibility remain limited**
- **Maintain HOLD, lower earnings forecast but raise AI related valuation, lower TP to USD 441**

Strategic pivot toward physical AI, with capital intensity and business mix re-aligned

Following Musk's consolidation of xAI into the broader ecosystem (SpaceX acquiring xAI at a reported USD 250bn valuation, and Tesla previously committing USD 2bn of investment), we see a clearer strategic shift toward physical AI. **1)** Musk's core assets across space, AI, new energy, and robotics are moving into deeper operational integration, with increasing convergence across computing infrastructure, data, and algorithms. The emerging architecture—spanning space-based AI data centers, AD systems, and humanoid robots—positions Tesla to evolve from a pure EV manufacturer into a physical AI platform company. **2)** AD, Robotaxi, and humanoid robots are increasingly defined as Tesla's primary long-term growth engines, while the strategic marginal contribution of NEV continues to decline. **3)** Reflecting this transition, mgmt guides 2026 CAPEX to exceed USD 20bn, well above prior market expectations, with incremental investment focused on AD training compute, Robotaxi production capacity, humanoid robot manufacturing lines, and vertical integration across the energy and battery value chain.

AD accelerates and Optimus to enter production, but cash flow visibility remains limited

Positives: 1) Operational progress in AD has accelerated, as Tesla has launched paid Robotaxi services in Austin without safety drivers or escort vehicles, with a fleet to exceed 500 vehicles across Austin and the Bay Area. Mgmt expects this operating model to be replicated in additional cities as regulatory frameworks evolve, with multi-city expansion targeted for 1H26. **2)** FSD has fully transitioned to a subscription model at USD 99/month, supported by faster OTA iteration and materially improved user feedback, lifting long-term ARPU potential and laying the groundwork for a hybrid shared-mobility model that integrates Robotaxi fleets with privately owned vehicles.

Financials

USD mn	2024	2025	2026E	2027E	2028E
Revenue	97,690	94,827	105,105	120,372	147,058
yoy	0.9%	-2.9%	10.8%	14.5%	22.2%
Net income	7,091	3,794	5,412	6,523	10,203
yoy	-52.7%	-46.5%	42.7%	20.5%	56.4%
Non-GAAP Net income	8,419	5,858	8,412	9,823	13,703
yoy	-22.6%	-30.4%	43.6%	16.8%	39.5%
Non-GAAP EPS (USD)	2.39	1.67	2.39	1.85	2.90
Non-GAAP P/E (x)	174.3	250.5	174.5	225.0	143.9
P/S (x)	20.1	17.9	16.2	14.6	12.9
ROE	9.7%	4.6%	6.0%	6.5%	8.9%

Sources: Company data, CMS (HK) estimates; share price as of Feb 9, 2026

Liang Yonghuo
+86 755 8290 4571
liangy6@cmschina.com.cn

Harrison Yin
+86 755 8308 2215
yinhc@cmschina.com.cn

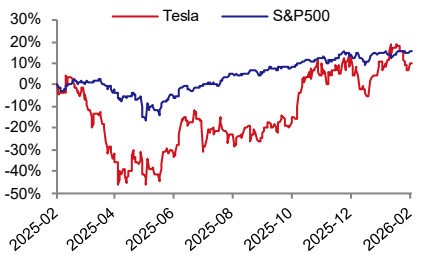
CMS vs Market

Market largely prices in AI growth; SpaceX IPO may lift valuation, but core auto under pressure and robot/robotaxi scaling remains uncertain

HOLD

Previous	BUY
Price	USD 417.3
12-month Target Price	USD 441
(Potential up/downside)	(+5.7%)
Previous	USD 473

Sector Performance



Source: Bloomberg

%	1m	6m	12m
TSLA US	(0.7)	53.7	28.8
SPX	0.5	10.8	13.8

Source: Bloomberg

Sector: Auto and Auto Parts	
S&P 500	6,965
Nasdaq Index	23,239
Key Data	
52-week range (USD)	214.3 - 498.8
Market cap (USD mn)	1,565,965
Avg. daily volume (mn)	66.96
BVPS (USD)	21.90
Shareholding Structure	
Elon Musk	12.89%
The Vanguard Group	7.21%
BlackRock	5.92%
Free Float	73.98%

Source: Bloomberg

Related Research

1. Tesla (TSLA US) - A Plain 3Q result, mixed outlook for AD and humanoid robot (HOLD) (Jul 24, 2025
2. Tesla (TSLA US) - Auto cycle headwinds persist, downgrade to HOLD on lack of near-term catalysts (HOLD) (Jul 24, 2025)

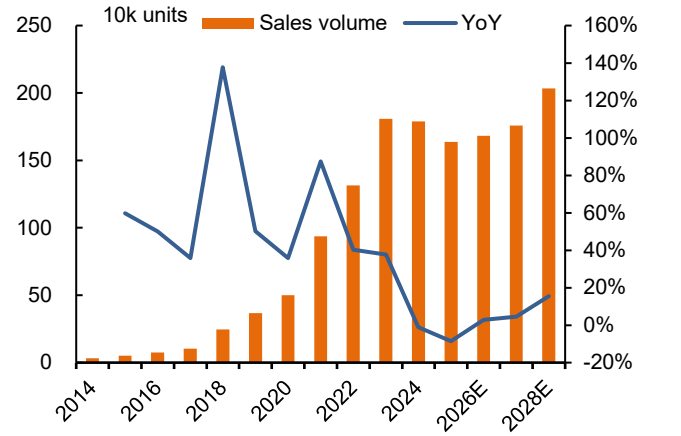
3) Optimus has a clearer strategic positioning: the Fremont Model S/X line has been repurposed for Optimus production, with a long-term capacity target of 1mn units per year. Gen-3 Optimus is expected to debut in 2H25 and enter mass production by year-end, reinforcing its role as a core long-term value driver. **Negatives: 1)** Near-term visibility in the automotive business remains weak, with 4Q25 deliveries declining qoq, increasing volatility in automotive revenue and margins. **2)** Guidance on new vehicle models remains limited, with CyberCab mass production and rollout still contingent on AD regulatory progress, and no additional new models planned in the near term, sustaining market caution around the cyclical recovery of the auto segment. **3)** Tesla lacks the high-margin, self-funding cash flow profile of large internet platforms, raising concerns that elevated capex and R&D intensity could drive a more cash-consumptive phase in 2026. The pace of Robotaxi monetization and the scalability of robotics cash flow remain key uncertainties.

Maintain HOLD, lower TP to USD 441

We maintain our HOLD rating and lower our TP to USD 441. We cut our FY26–27 earnings forecasts by 20%/39%, reflecting downside risks in the auto market, higher R&D intensity, and a materially higher capex trajectory (Figure 8). While we raise the valuation assigned to the AI segment to reflect tangible progress and early commercialization in FSD, Robotaxi, and robotics, this is more than offset by a lower valuation for the automotive business. Under a sum-of-the-parts framework (Figure 9), these adjustments result in a revised TP of USD 441. We remain constructive on Tesla's long-term physical AI strategy and ecosystem-level synergies, but believe a re-rating will require improved visibility on the scalability, profitability, and cash-flow contribution of its new businesses. **Risk factor:** Technological progress below expectations.

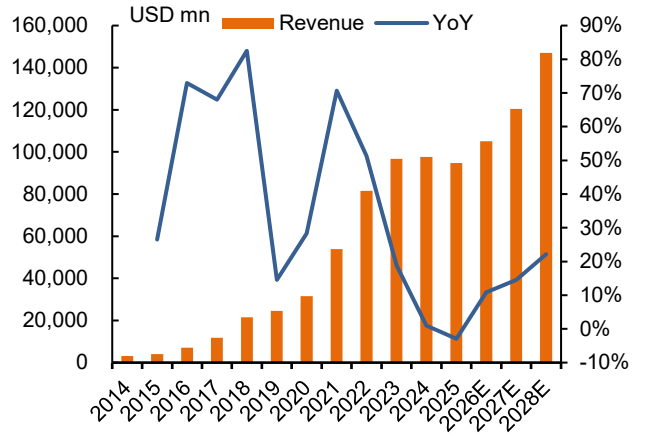
Focus Charts

Figure 1: 2026 sales growth to rebound



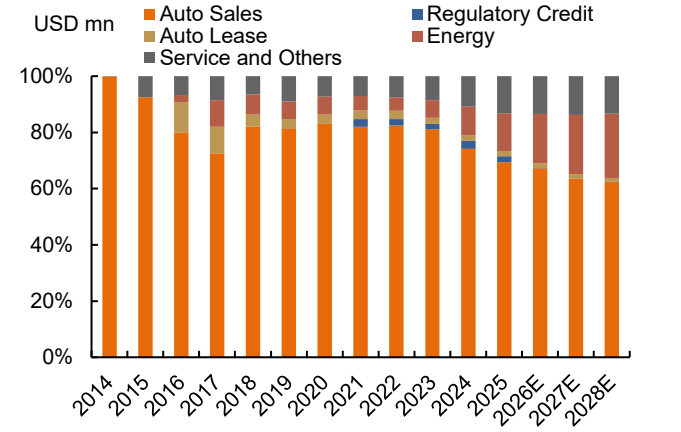
Sources: Company data, CMS (HK) estimates

Figure 2: 2026 to re-enter growth due to AI businesses



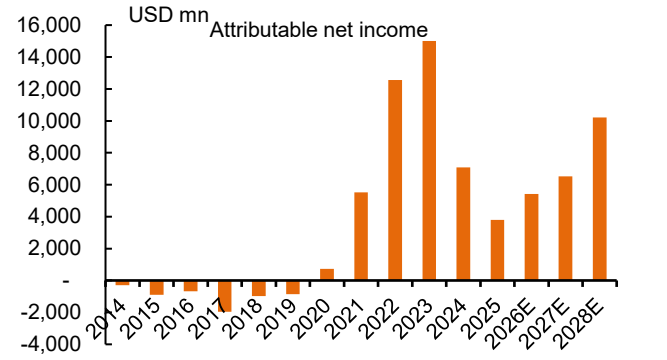
Sources: Company data, CMS (HK) estimates

Figure 3: Revenue gradually diversifies, with multiple sectors advancing simultaneously



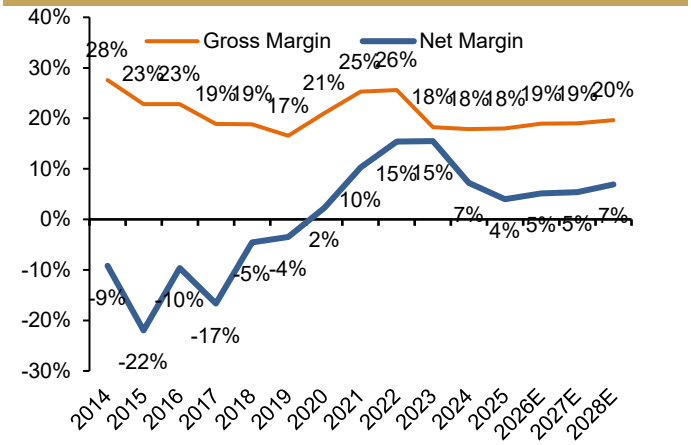
Sources: Company data, CMS (HK) estimates

Figure 4: Attributable net profit forecasted to resume upward trend in 2026



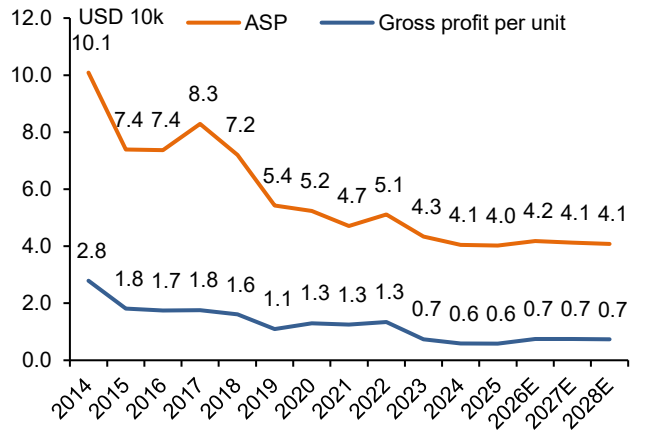
Sources: Company data, CMS (HK) estimates

Figure 5: Overall GPM and NPM remain stable



Sources: Company data, CMS (HK) estimates

Figure 6: Per-vehicle revenue and per-vehicle gross profit remain stable



Sources: Company data, CMS (HK) estimates

Figure 7: Sales forecasts adjustments

	New			Previous			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Vehicle sales volume (unit)									
Model S	3,000	0	0	21,000	22,050	n.a.	-85.7%	-100.0%	n.a.
Model X	4,000	0	0	21,000	22,050	n.a.	-81.0%	-100.0%	n.a.
Model 3	487,256	477,511	467,961	520,000	546,000	n.a.	-6.3%	-12.5%	n.a.
Model Y	1,142,483	1,153,908	1,165,447	1,092,000	1,146,600	n.a.	4.6%	0.6%	n.a.
Roadster	0	1,000	1,400	1,000	1,400	n.a.	-100.0%	-28.6%	n.a.
Cybertruck	25,000	26,000	27,000	50,000	60,000	n.a.	-50.0%	-56.7%	n.a.
Tesla semi	500	600	1,000	600	600	n.a.	-16.7%	0.0%	n.a.
CyberCab	20,000	100,000	250,000	20,000	150,000	n.a.	0.0%	-33.3%	n.a.
Model 2	0	0	100,000	0	0	n.a.	n.a.	n.a.	n.a.
Total delivery	**1,682,239**	**1,759,019**	**2,032,808**	**1,765,600**	**2,068,700**	**n.a.**	**-4.7%**	**-15.0%**	**n.a.**

Sources: Company data, CMS (HK) estimates

Figure 8: Key Income statement forecasts adjustments

	New			Previous			Change		
RMB mn	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	**105,105**	**120,372**	**147,058**	**115,355**	**155,838**	**n.a.**	**-8.9%**	**-22.8%**	**n.a.**
Cost of Goods Sold	-85,214	-97,509	-118,122	-94,396	-125,477	n.a.	-9.7%	-22.3%	n.a.
Gross Profit	**19,891**	**22,863**	**28,936**	**20,959**	**30,361**	**n.a.**	**-5.1%**	**-24.7%**	**n.a.**
SG&A expenses	-7,357	-8,426	-9,559	-6,921	-7,792	n.a.	6.3%	8.1%	n.a.
R&D expenses	-6,306	-7,222	-8,088	-5,768	-7,013	n.a.	9.3%	3.0%	n.a.
Operating Margin	**5,227**	**6,214**	**10,289**	**8,270**	**13,582**	**n.a.**	**-36.8%**	**-54.2%**	**n.a.**
Financial expenses	1,307	1,660	2,028	983	1,126	n.a.	32.9%	47.4%	n.a.
EBT	**6,534**	**7,875**	**12,317**	**9,253**	**14,709**	**n.a.**	**-29.4%**	**-46.5%**	**n.a.**
Tax expenses	-1,111	-1,339	-2,094	-2,498	-3,971	n.a.	-55.5%	-66.3%	n.a.
Net income	**5,423**	**6,536**	**10,223**	**6,755**	**10,737**	**n.a.**	**-19.7%**	**-39.1%**	**n.a.**
Non-controlling interests	11	13	20	14	21	n.a.	-19.7%	-39.1%	n.a.
Attributable net profit	**5,412**	**6,523**	**10,203**	**6,741**	**10,716**	**n.a.**	**-19.7%**	**-39.1%**	**n.a.**
EPS (USD)	**2.39**	**1.85**	**2.90**	**2.46**	**3.05**	**n.a.**	**-2.6%**	**-39.1%**	**n.a.**

Sources: Company data, CMS (HK) estimates

We divide the company's valuation into two components: **explicit businesses** and **AI-driven potential businesses**.

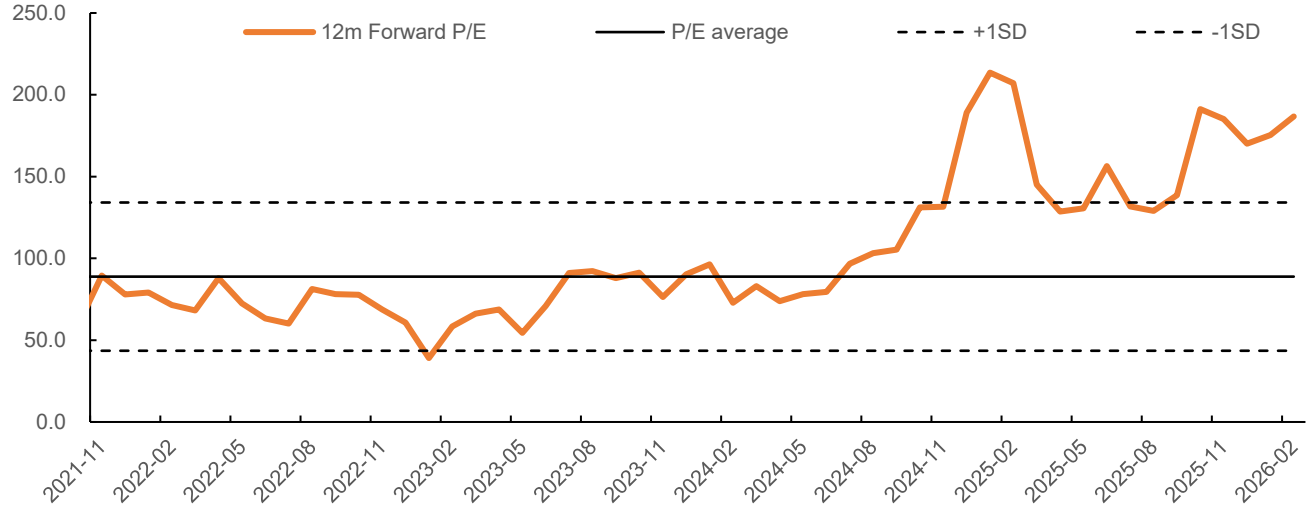
- **Explicit businesses (Auto/FSD/Energy storage):** We apply a P/E valuation method, consistent with historical practice. We maintain a 26E non-GAAP P/E multiple of 75x, aligned with the historical average (see Figure 9), yielding a valuation of USD 128 per share (down from USD 186), reflecting uncertainties in the auto cycle.
- **AI potential businesses (Robotaxi/Dojo cloud compute/humanoid robot):** As these businesses have yet to contribute meaningful revenue, we adopt a DCF-based approach, adjusted for current tech maturity. Per our DCF analysis, Robotaxi, Dojo cloud computing, and humanoid robots are valued at USD 152, USD 34, and USD 127 per share, respectively, totaling USD 313.

Figure 9: Company segment valuation

Business	Segments	Valuation Method	Market cap (USD mn)	Original target price (USD/share)	Maturity	Adjusted target price (USD/share)	As %
Overall valuation		**SOTP**	**1,695,674**	**486**		**441**	**100.0%**
Core Business	**Auto/FSD/Energy storage**	**75x FY26E Non-GAAP P/E**	**447,887**	**128**	**100%**	**128**	**29%**
AI Business	Robotaxi platform	DCF	558,645	**160**	95%	**152**	34%
	Dojo computing	DCF	167,113	**48**	70%	**34**	1%
	Optimus	DCF	522,029	**150**	85%	**127**	29%
	Total		**1,247,787**	**358**	**83%**	**313**	**71%**

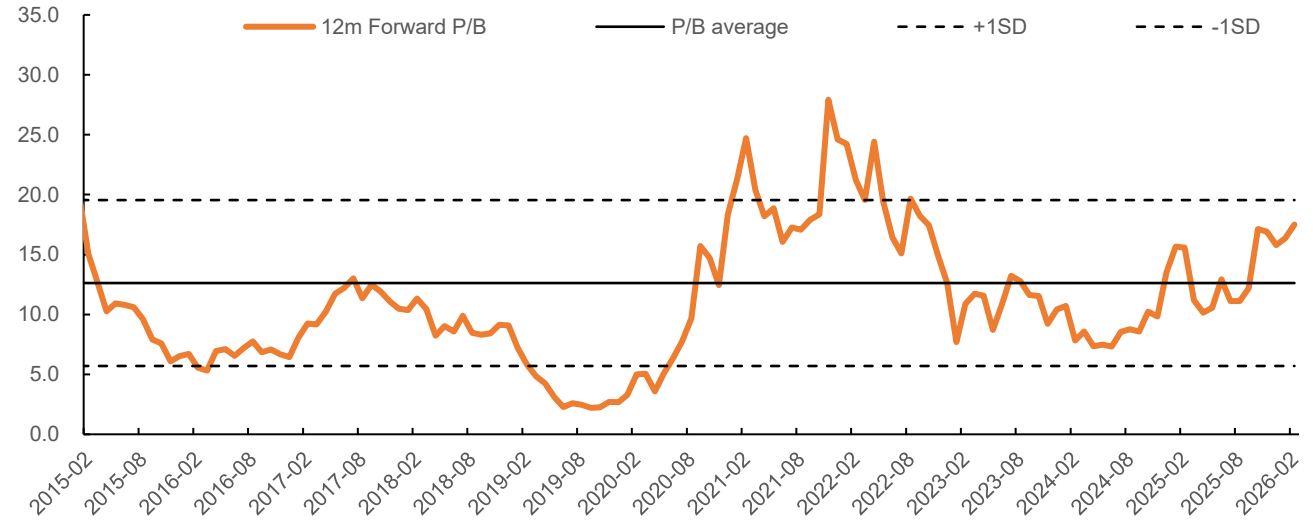
Source: CMS (HK) estimates

Figure 10: Tesla's is trading much higher than its 1SD above its 12-month forward P/E historical average



Sources: Wind, CMS (HK)

Figure 11: Tesla is trading around 1SD above its 12-month forward P/B historical average



Sources: Wind, CMS (HK)

Valuation comparison

Company	Ticker	CMS Rating	Price (lcl ccy)	CMS TP (lcl ccy)	Upside	Mkt cap (USDm)	P/E(x) 2025E	P/E(x) 2026E	P/B(x) 2025E	P/B(x) 2026E	P/S(x) 2025E	P/S(x) 2026E	ROE (%) 2025E	ROE (%) 2026E	Dividend Yield (%) 2025E	Dividend Yield (%) 2026E	Net Gearing (%) 2024
NEV maker																	
BYD	1211 HK	BUY	93.6	130.0	39%	114,810	21.4	16.6	3.6	3.1	0.9	0.8	16.9	18.7	1.3	1.7	-50.6
Li Auto	2015 HK	HOLD	72.0	74.0	3%	19,711	43.1	23.4	1.7	1.6	1.2	0.9	2.7	6.1	0.0	0.0	-135.3
Xpeng	9868 HK	BUY	69.0	115.0	67%	16,879	n.a	n.a	3.9	3.7	1.5	1.1	-4.9	4.0	0.0	0.0	-56.4
Nio	9866 HK	NR	38.9	n.a	n.a	12,360	n.a	n.a	39.7	1.3	1.0	0.7	66.0	-19.8	0.0	-143.8	2.3
Leapmotor	9863 HK	NR	43.9	n.a	n.a	59,362	n.a	n.a	3.3	1.7	0.8	0.5	25.2	-8.5	0.0	0.0	-165.8
Tesla	TSLA US	HOLD	417.3	441.0	6%	1,565,965	250.5	174.5	17.9	16.2	16.5	14.9	4.6	6.0	0.0	0.0	-31.1
Average							**105.0**	**71.5**	**11.7**	**4.6**	**3.6**	**3.1**	**18.4**	**1.1**	**0.2**	**-23.7**	**-72.8**
Traditional Auto maker																	
GreatWall Motor	2333 HK	BUY	13.2	24.0	82%	22,847	7.5	6.1	1.1	1.0	0.6	0.6	14.8	16.0	3.9	4.8	16.5
Geely Auto	175 HK	BUY	16.6	32.0	93%	22,987	9.8	8.2	1.5	1.3	0.5	0.4	17.2	17.4	3.8	4.1	-37.2
GAC Group	2238 HK	NR	3.8	n.a	n.a	9,861	n.a	n.a	0.3	0.7	0.7	0.6	0.4	-2.8	0.9	0.7	-21.1
Dongfeng Motor	489 HK	NR	9.1	n.a	n.a	9,589	n.a	n.a	0.4	0.7	0.5	0.5	0.0	0.4	0.9	0.0	-6.2
Sinotruk	3808 HK	NR	39.5	n.a	n.a	13,948	14.1	12.4	1.9	1.1	0.9	0.8	4.7	5.0	4.6	14.4	-7.6
Average							**10.5**	**8.9**	**1.0**	**0.9**	**0.6**	**0.6**	**7.4**	**7.2**	**2.8**	**4.8**	**-11.1**
Auto dealer																	
Zhongsheng	881 HK	BUY	12.2	22.3	83%	3,692	6.8	5.2	0.5	0.5	0.1	0.1	7.9	9.6	6.5	8.4	39.6
MeiDong Auto	1268 HK	NR	1.5	n.a	n.a	257	n.a	9.3	0.9	0.1	0.1	0.1	-17.6	2.1	5.0	0.0	-10.9
Yongda Auto	3669 HK	NR	1.6	n.a	n.a	370	7.9	-1.2	0.2	0.0	0.0	0.0	2.8	0.6	5.3	1.4	23.1
Average							**7.3**	**4.5**	**0.6**	**0.2**	**0.1**	**0.1**	**-2.3**	**4.1**	**5.6**	**3.3**	**17.3**
Auto parts																	
Weichai Power	2338 HK	BUY	28.2	30.0	7%	32,185	18.3	16.2	2.3	2.1	1.0	0.9	12.5	12.8	1.4	1.6	-4.5
Fuyao Glass	3606 HK	BUY	64.3	86.0	34%	22,400	16.9	14.4	3.7	3.3	3.3	2.8	22.1	23.0	3.4	4.0	-10.0
Minth Group	425 HK	BUY	39.8	42.0	5%	5,970	14.8	12.8	1.9	1.7	1.6	1.3	12.5	13.0	1.3	2.3	27.0
BOE Varitronix	710 HK	BUY	4.9	6.8	38%	499	9.8	8.4	0.9	0.8	0.3	0.2	10.2	10.8	3.5	3.4	-68.1
Nexteer	1316 HK	NR	7.2	n.a	n.a	2,306	17.2	13.5	1.0	0.5	0.5	0.5	1.8	3.8	2.3	3.1	-13.0
Average							**15.4**	**13.1**	**2.0**	**1.7**	**1.3**	**1.2**	**11.8**	**12.7**	**2.4**	**2.9**	**-13.7**
Robotics																	
Horizon robot	9660 HK	BUY	8.3	13.8	67%	15,486	n.a	n.a	17.4	41.2	30.7	19.0	n.a	n.a	0.0	0.0	n.a
HESAI	HSAI US	BUY	26.0	40.0	54%	4,079	53.9	34.4	0.4	0.4	8.8	6.1	4.6	7.7	0.0	0.0	-62.6
UBTECH	9880 HK	BUY	127.1	172.0	35%	8,187	n.a	n.a	29.7	28.1	30.5	20.4	-47.6	-38.4	0.0	0.0	16.5
DOBOT	2432 HK	BUY	35.4	76.0	114%	1,786	n.a	n.a	13.3	12.4	24.3	18.2	-1.0	5.1	0.0	0.0	n.a
Average							**53.9**	**34.4**	**15.2**	**20.5**	**23.6**	**15.9**	**-14.6**	**-8.5**	**0.0**	**0.0**	**-23.1**
Total Average							**35.1**	**23.6**	**6.4**	**5.4**	**5.5**	**4.0**	**7.1**	**4.2**	**1.9**	**-4.1**	**-26.4**

Prices as of Feb 9, 2026; Unrated company forecast is based on Bloomberg consensus; Sources: Bloomberg, CMS (HK) estimates

Financial summary

Balance Sheet

USD mn	2024	2025	2026E	2027E	2028E
Total Current Assets	**58,360**	**68,642**	**66,569**	**75,183**	**92,473**
Cash And Cash Equivalents	16,139	16,513	5,391	1,130	4,001
Short-term Investments	20,424	27,546	34,664	43,350	52,452
Accounts Receivable, net	4,418	4,576	4,045	5,510	5,433
Inventory	12,017	12,392	14,237	15,765	20,029
Prepaid Expenses & others	5,362	7,615	8,231	9,427	10,557
Total Non-current Assets	**63,710**	**69,164**	**82,574**	**90,084**	**95,597**
PP&E, net	35,836	40,643	54,691	62,161	67,673
Operating Lease Vehicles	5,581	4,912	4,366	4,497	4,586
Solar energy systems, net	4,924	4,604	4,512	4,422	4,333
Intangible assets, net	150	0	0	0	0
Other noncurrent assets	17,219	19,005	19,005	19,005	19,005
Total Assets	**122,070**	**137,806**	**149,143**	**165,266**	**188,070**
Total Current Liabilities	**28,821**	**31,714**	**33,561**	**37,522**	**44,765**
Accounts Payable	12,474	13,371	15,034	17,469	21,905
Current portion of long term	2,456	1,640	1,804	1,984	2,183
Other current liabilities	13,891	16,703	16,723	18,069	20,678
Total Non-current	**19,569**	**23,227**	**24,294**	**25,620**	**27,457**
Long-term debt and finance	5,757	6,736	7,410	8,151	8,966
Deferred Revenue, Less	3,317	3,631	4,025	4,609	5,631
Other noncurrent liabilities	10,495	12,860	12,860	12,860	12,860
Total Liabilities	**48,390**	**54,941**	**57,855**	**63,142**	**72,222**
Common Stock	3	3	3	3	3
Additional Paid-In Capital	38,371	42,770	45,770	50,070	53,570
Other Comprehensive	-670	361	361	361	361
Retained Earnings	35,209	39,003	44,415	50,938	61,141
Total stockholders' equity	**72,913**	**82,137**	**90,549**	**101,372**	**115,075**
Non-controlling interests	704	670	681	694	714
Total equity	**73,617**	**82,807**	**91,230**	**102,066**	**115,789**
Total liabilities and equity	**122,070**	**137,806**	**149,143**	**165,266**	**188,070**

Cashflow Statement

USD mn	2024	2025	2026E	2027E	2028E
Cash From Operating Activities	**14,923**	**14,747**	**16,180**	**19,355**	**27,136**
Net Income	7,153	3,855	5,423	6,536	10,223
D&A and impairment	5,368	6,148	6,973	9,383	10,664
Change in working capital	81	642	784	136	2,748
Other	2,321	4,102	3,000	3,300	3,500
Cash From Investing Activities	**-18,787**	**-15,478**	**-28,139**	**-25,538**	**-25,277**
CAPEX Excluding Capital Leases	-11,339	-8,527	-21,021	-16,852	-16,176
Purchases of solar energy systems	-3	0	0	0	1
Other	-7,445	-6,951	-7,118	-8,686	-9,102
Cash from Financing Activities	**3,853**	**1,139**	**838**	**1,921**	**1,013**
Proceeds from Common Stock	0	0	0	0	0
Net borrowing	3,244	40	838	921	1,013
Proceeds From Stock Options	1,241	1,186	0	0	0
Other	-632	-87	0	1,000	0
Net Increase In Cash	**-11**	**408**	**-11,122**	**-4,262**	**2,872**
Effect of exchange rate changes	-141	171	0	1	2
Cash (inc. restricted cash)	**17,037**	**17,616**	**6,494**	**2,233**	**5,104**
Restricted Cash	898	1,103	1,103	1,103	1,103
Cash And Cash Equivalents,	**16,139**	**16,513**	**5,391**	**1,130**	**4,001**

Profit & Loss Statement

USD mn	2024	2025	2026E	2027E	2028E
Revenue	**97,690**	**94,827**	**105,105**	**120,372**	**147,058**
Cost of revenues	-80,240	-77,733	-85,214	-97,509	-118,122
Gross profit	**17,450**	**17,094**	**19,891**	**22,863**	**28,936**
R&D expense	-4,540	-6,411	-7,357	-8,426	-9,559
SG&A expense	-5,150	-5,834	-6,306	-7,222	-8,088
Other	-684	-494	-1,000	-1,000	-1,000
Income from operations	**7,076**	**4,355**	**5,227**	**6,214**	**10,289**
Financial cost, net	1,219	1,342	1,307	1,660	2,028
Other income (expense),	695	-419	0	0	0
Income before taxation	**8,990**	**5,278**	**6,534**	**7,875**	**12,317**
Provision for income taxes	-1,837	-1,423	-1,111	-1,339	-2,094
Net income	**7,153**	**3,855**	**5,423**	**6,536**	**10,223**
Non-controlling interests	62	61	11	13	20
Net income attributable	**7,091**	**3,794**	**5,412**	**6,523**	**10,203**
Non-GAAP net income	**8,419**	**5,858**	**8,412**	**9,823**	**13,703**

Financial Ratios

	2024	2025	2026E	2027E	2028E
YoY growth rate					
Revenue	0.9%	-2.9%	10.8%	14.5%	22.2%
Operating profit	-20.4%	-38.5%	20.0%	18.9%	65.6%
Net income attributable to	-52.7%	-46.5%	42.7%	20.5%	56.4%
Profitability					
Gross margin	17.9%	18.0%	18.9%	19.0%	19.7%
Operating profit margin	7.2%	4.6%	5.0%	5.2%	7.0%
Net profit margin	7.3%	4.0%	5.1%	5.4%	6.9%
ROE	9.7%	4.6%	6.0%	6.4%	8.9%
ROA	5.8%	2.8%	3.6%	3.9%	5.4%
Liquidity					
Liability to Asset	39.6%	39.9%	38.8%	38.2%	38.4%
Net gearing ratio	-10.9%	-9.9%	4.2%	8.9%	6.2%
Liquid ratio	2.02	2.16	1.98	2.00	2.07
Quick ratio	1.61	1.77	1.56	1.58	1.62
Operating efficiency					
Asset turnover days	427	500	498	477	438
Inventory turnover days	58	57	57	56	55
AR turnover days	15	17	15	14	14
AP turnover days	61	61	61	61	61
Per share ratios (USD)					
EPS	2.39	1.67	2.39	1.85	2.90
CFPS	4.24	4.19	4.60	5.50	7.72
BVPS	20.73	23.35	25.75	28.82	32.72
DPS	0.00	0.00	0.00	0.00	0.00
Valuation ratios					
P/E	174.3	250.5	174.5	225.0	143.9
P/B	20.1	17.9	16.2	14.5	12.8

Sources: Company statements, CMS (HK) estimates

Investment Ratings

Industry Rating	Definition
OVERWEIGHT	Expect sector to outperform the market over the next 12 months
NEUTRAL	Expect sector to perform in-line with the market over the next 12 months
UNDERWEIGHT	Expect sector to underperform the market over the next 12 months

Company Rating	Definition
BUY	Expect stock to generate 10%+ return over the next 12 months
HOLD	Expect stock to generate +10% to -10% over the next 12 months
SELL	Expect stock to generate loss of 10%+ over the next 12 months

Analyst Disclosure

The analysts primarily responsible for the preparation of all or part of the research report contained herein hereby certify that: (i) the views expressed in this research report accurately reflect the personal views of each such analyst about the subject securities and issuers; and (ii) no part of the analyst's compensation was, is, or will be directly or indirectly, related to the specific recommendations or views expressed in this research report.

Regulatory Disclosure

Please refer to the important disclosures on our website http://www.cmschina.com.hk/Research/Disclosure.

Disclaimer

This document is prepared by China Merchants Securities (HK) Co Limited. The information contained herein has been obtained from or is based on sources believed to be reliable. China Merchant Securities (HK) Co Limited, its holding company or affiliated companies, or any of its or their directors, officers or employees (collectively "CMS") do not represent or warrant, expressly or impliedly, that it is accurate, correct or complete and it should not be relied upon. CMS will not accept any responsibility or liability whatsoever for any use of or reliance upon this document or any of the content thereof.

This document is for information purpose only. Neither the information nor opinion expressed shall be construed, expressly or impliedly, as an advice, offer or solicitation of an offer, invitation, advertisement, inducement, recommendation or representation of any kind or form whatsoever to buy or sell any security, financial instrument or any investment or other specific product. The securities, instruments or strategies discussed in this document may not be suitable for all investors, and certain investors may not be eligible to participate in some or all of them. Certain services and products are subject to legal restrictions and cannot be offered worldwide on an unrestricted basis and/or may not be eligible for sale to all investors. CMS is not registered as a broker-dealer in the United States and its products and services are not available to U.S. persons except as permitted under SEC Rule 15a-6.

Opinions, and associated estimates and forecasts, or any content and information in this document are only current as of the date of their publication and will be subject to change without prior notice. Past performance is not indicative of future performance. Estimates of future performance are based on assumptions that may not be realized. The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. Opinions expressed herein may differ or be contrary to those expressed by other business divisions or other members of CMS as a result of using different assumptions and/or criteria.

This document has been prepared without regard to the individual financial circumstances and investment objectives of the persons who receive it. Use of any information herein shall be at the sole discretion and risk of the user. Investors

are advised to independently evaluate particular investments and strategies, take financial and/or tax advice as to the implications (including tax) of investing in any of the securities or products mentioned in this document, and make their own investment decisions without relying on this publication.

CMS may have a long or short position, make markets, act as principal or agent, or engage in transactions in securities of companies referred to in this document and may also perform or seek to perform investment banking services or provide advisory or other services for those companies.

This document is for the use of intended recipients only and this document may not be reproduced, distributed or published in whole or in part for any purpose without the prior consent of CMS. CMS will not be liable for any claims or lawsuits from any third parties arising from the use or distribution of this document.

This document is for distribution only under such circumstances as may be permitted by applicable law. This document is not directed at you if CMS is prohibited or restricted by any legislation or regulation in any jurisdiction from making it available to you. In particular, this document is only made available to certain US persons to whom CMS is permitted to make available according to US securities laws, but cannot otherwise be made available, distributed or transmitted, whether directly or indirectly, into the US or to any US person.

In Hong Kong, this document is distributed by China Merchants Securities (HK) Co., Limited, which is a licensed corporation to carry on Type 1 (dealing in securities), Type 2 (dealing in futures), Type 4 (advising on securities), Type 6 (advising on corporate finance) and Type 9 (asset management) regulated activities under the Securities and Futures Ordinance (Chapter 571).

In South Korea, professional clients can get copies of this document (upon request) through China Merchants Securities (Korea) Co., Limited

If there is any inconsistency or ambiguity between the English version and the Chinese version of this disclaimer, the English version shall prevail.

© China Merchant Securities (HK) Co., Limited. All rights reserved.

Hong Kong

China Merchants Securities (HK) Co., Ltd.
Address: 48/F, One Exchange Square, Central, Hong Kong
Tel: +852 3189 6888 Fax: +852 3101 0828